

Question 22 · Unit 2 · 8 Marks

Explain performance appraisal as an HRD subsystem and state its importance for employee development.

Introduction

Performance appraisal as an HRD subsystem means a planned discussion of how well an employee has done, which behaviours helped or hurt, and what learning should follow. It is different from a secret mark used only to decide bonus. If appraisal does not develop the person, it is not yet an HRD subsystem — it is only an administrative ritual.

Detailed points

- 1. Meaning in HRD.** It is a cycle of role clarity, goal setting, review of results and competencies, feedback, and an individual development plan. Both boss and employee prepare. The spirit is 'how do we improve', not 'how do I catch you'.
- 2. Role analysis and goals.** Development starts with knowing the job. Agreed KRAs and competency expectations make later review fair. Unclear jobs make appraisal political.
- 3. Identifying strengths and gaps.** Appraisal produces a map: what to leverage, what to train, what to coach. This map is the raw material of HRD.
- 4. Feedback institutionalised.** People cannot correct what they never hear. A yearly (and preferably more frequent) review makes feedback official, not accidental.
- 5. Development planning.** Importance is highest here: every appraisal should end with concrete actions — course, project, mentoring, job aid — and dates. Without IDP, appraisal stops at judgement.
- 6. Feeds other subsystems.** Training needs, career talks, potential reviews and counselling agendas come from appraisal. That is why it sits at the centre of many HRD systems.
- 7. Motivational and relational importance.** Fair recognition motivates. The discussion also develops the dyad (employee–boss), which Unit 1 listed as an HRD goal. A skilled appraisal conversation is itself a developmental experience.
- 8. When it fails as HRD.** Forced ranking, no counselling, surprise ratings, and no follow-up teach fear. Then appraisal harms development. Importance exists only if design is developmental.

Conclusion. Explain appraisal as a developmental cycle and list importance: clarity, diagnosis, feedback, IDP, links to training/career, motivation. End: without developmental appraisal, HRD has no regular organisation-wide engine.